PRINCIPLES OF ECONOMICS

Salimah Musharrif

FPEC 101 – LECTURE 1

Unit 1

Lecture Outline

- Introduction
- Micro and Macro Economics
- Positive vs Normative Statements
- Basic economic Problem
- Scarcity and Opportunity Cost
- Production Possibility Frontier

Introduction

- Economics is the study of ways in which a human being provides for its material well-being.
- Economics studies how unlimited wants are satisfied through limited resources.
- According to Lionel Robbins, economists are concerned with the study of human behavior and scarce means, i.e. the ways in which we earn money, land, capital etc and their alternative uses.

Micro vs Macro Economics

- Macroeconomics- examines either the economy as a whole or its basic subdivisions or aggregates, such as the government, household, and business sectors. An aggregate is a collection of specific economic units treated as if they were one unit.
- Microeconomics - concerned with individual units such as a person, a household, a firm, or an industry.

Positive and Normative Statements

- Positive economics deals with factual statements (“what is”). Fact based. Basis is scientifically and statistically true.
- Normative economics involves value judgments (“what ought to be”). Recommendations and opinions.

Basic Economic Problem

- “Satisfying unlimited wants with limited resources” or “satisfying infinite wants with finite resources”.
- Resources -Land, Labor, Capital and Entrepreneur.

Resources/Factors of Production

- Land – Unique characteristic
- Labor – derived demand
- Capital – consumption and accumulation
- Entrepreneur – same as labor

- Incomes
- Mobility of the factors of production

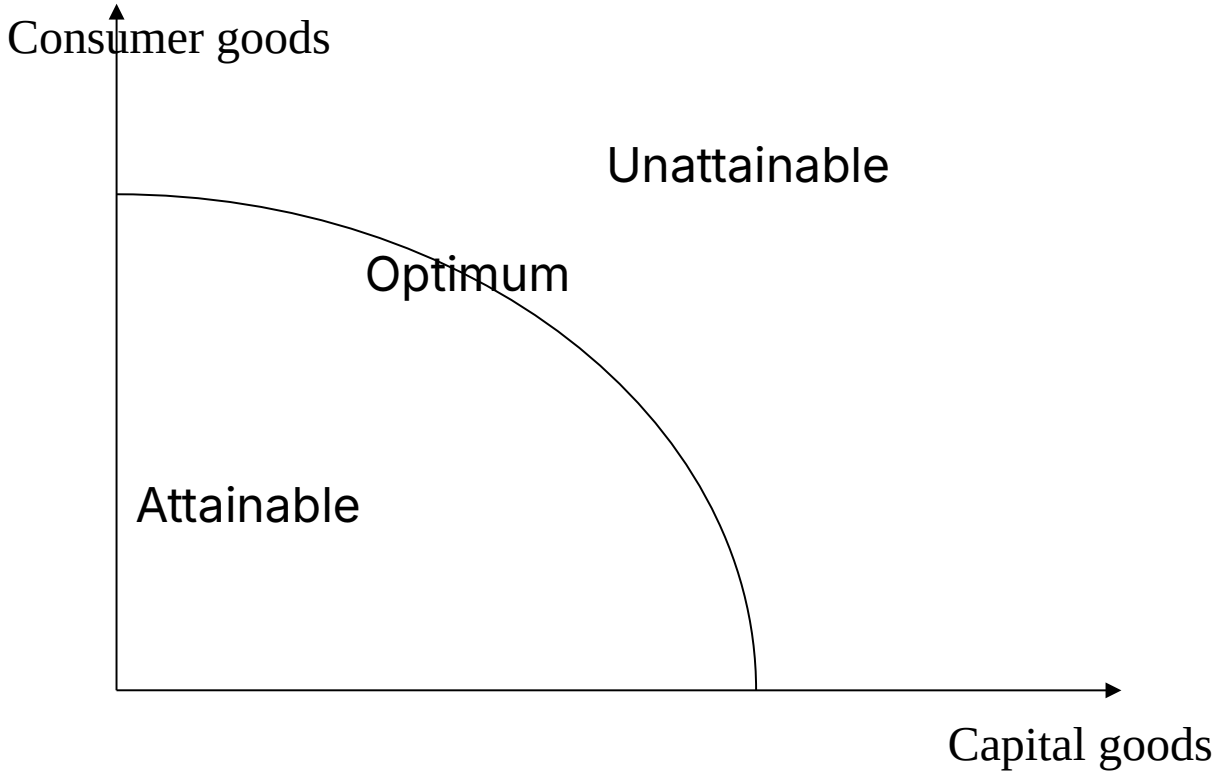
Opportunity Cost

- Opportunity cost refers to the *next best alternative foregone.*
- For the consumer opportunity cost is consumption foregone, while for the producer its production foregone. As you increase consumption or output of one product you must give up an increasing amount of the other – Increasing Opportunity Cost

Production Possibility Curve (PPC)

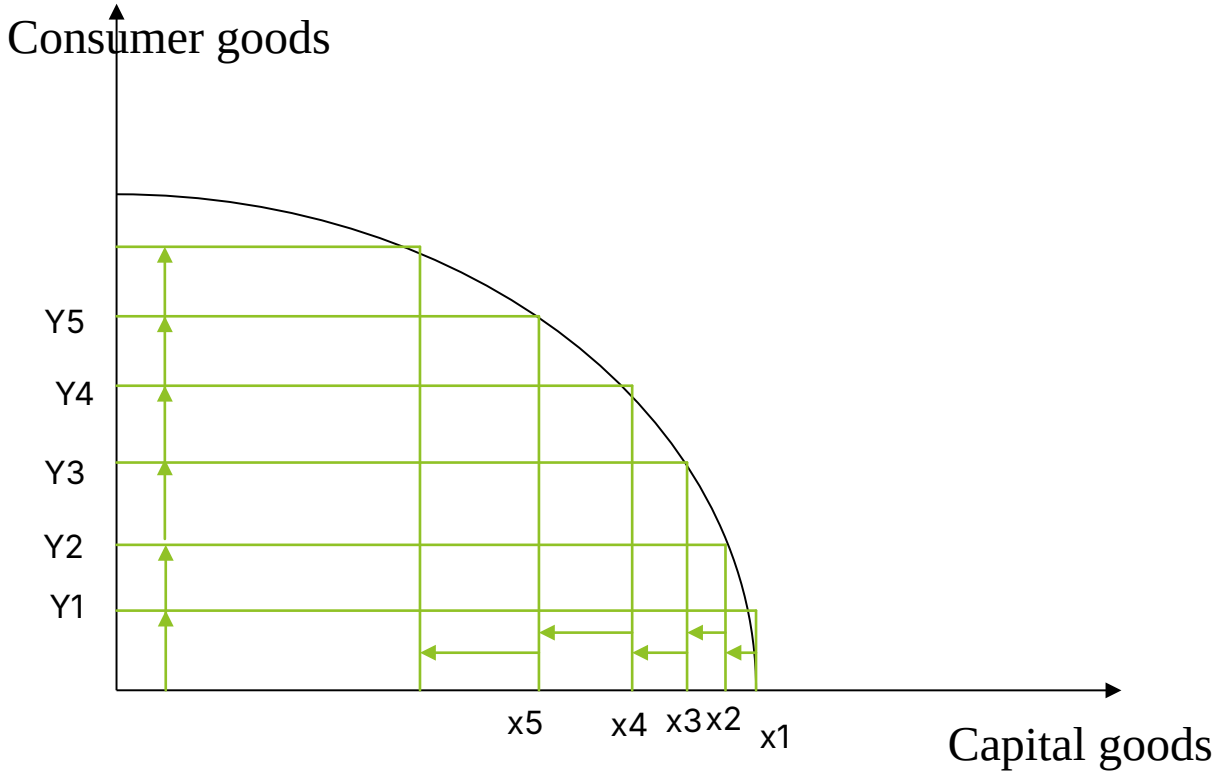
Assumptions

- Full employment -all available resources.
- Fixed resources- The quantity and quality of the factors
- Fixed technology – constant methods of production
- Two goods -Consumer goods and capital goods



Production Possibility Curve (PPC)

Combination of two goods a country can produce with a specific set of resources, assuming full employment



Production Possibility Curve (PPC)

Increasing Opportunity Cost and the shape of the PPC



Production Possibility Curve (PPC)

An increase in all resources results in an outward shift in the PPC, while a decrease results in a parallel inward shift.

A nation's favoring consumer goods will cause a modest outward shift of the production possibilities curve in the future, while one focused on capital goods will result in a greater outward shift of the curve.

Summary

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